

# Technical Provisions

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## Application and Definitions

1.1

Unless otherwise stated, this Part applies to:

1. (1) a \_UK Solvency II firm\_ ;
2. (2) in accordance with Insurance General Application 3, the \_Society\_ , as modified by 16; and
3. (3) in accordance with Insurance General Application 3, \_managing agents\_ , as modified by 16.

1.2

In this Part, the following definitions shall apply:

cost-of-capital rate

means the rate (above the relevant risk-free interest rate) that must be used in the determination of the cost that a UK Solvency II firm would incur in order to hold an amount of eligible own funds equal to the SCR necessary to support the insurance and reinsurance obligations over their lifetime, which, as specified in regulation 7B(b) of the IRPR Regulations, equals 4%.

[Note: regulation 7B of the IRPR Regulations provides that where the PRA's rules require the best estimate and the risk margin to be calculated separately, the risk margin must be calculated in accordance with that regulation. This definition therefore requires a firm that values the best estimate and the risk margin separately to calculate the risk margin using the cost-of-capital rate specified in regulation 7B(b) of the IRPR Regulations]

reference undertaking

means the hypothetical firm which is assumed, for the purpose of calculating the risk margin, to take over the whole portfolio of insurance and reinsurance obligations of the firm (or in the case of a composite firm either the general insurance business or long-term insurance business of the firm) on the basis of the assumptions in 4B.

reference undertaking notional SCR

means the hypothetical SCR of the reference undertaking, calculated in accordance with 4B.1.

volatility adjustment permission

means the permission granted to a firm by the PRA pursuant to section 138BA of FSMA to permit it to apply a volatility adjustment for the purposes of calculating the best estimate.

2

## Calculation of Technical Provisions

### 2.1

\_Firms\_ must establish adequate \_technical provisions\_ with respect to all of their insurance and \_reinsurance\_ obligations towards \_policyholders\_.

[Note: Art. 76(1) of the \_Solvency II Directive\_]

### 2.2

The value of \_technical provisions\_ must correspond to the current amount that the \_firm\_ would have to pay if it were to transfer its insurance and \_reinsurance\_ obligations immediately to another \_UK Solvency II firm\_.

[Note: Art. 76(2) of the \_Solvency II Directive\_]

### 2.3

\_Firms\_ must calculate their \_technical provisions\_ :

1. (1) such that the calculation makes use of and is consistent with information provided by the financial markets and generally available data on \_underwriting risks\_ (market consistency);
2. (2) in a prudent, reliable and objective manner;
3. (3) taking into account the principles set out in Valuation 2; and
4. (4) in accordance with 2.4 to 12.2.

[Note: Art. 76(3) of the \_Solvency II Directive\_]

### 2.4

The value of \_technical provisions\_ must be equal to the sum of a \_best estimate\_ and a \_risk margin\_ which must be calculated in accordance with 2.5, 3 and 4.

[Note: Art. 77(1) of the \_Solvency II Directive\_]

### 2.5

1. (1) Firms must value the \_best estimate\_ and the \_risk margin\_ separately, except where (2) applies.
2. (2) Where:
  1. (a) future cash-flows associated with insurance or \_reinsurance\_ obligations can be replicated reliably; and
  2. (b) that replication is provided using financial instruments; and
  3. (c) those financial instruments have a reliable market value which is observable;

then the value of \_technical provisions\_ associated with those future cash-flows must be determined on the basis of the market value of those financial instruments.

[Note: Art. 77(4) of the \_Solvency II Directive\_]

## 3

### Best Estimate

#### 3.1

The \_best estimate\_ must:

1. (1) correspond to the probability-weighted average of future cash-flows, taking into account the time value of money (expected present value of future cash-flows) using the \_relevant risk-free interest rate term structure\_ ; and
2. (2) be calculated:
  1. (a) based upon up-to-date and credible information and realistic assumptions;
  2. (b) using adequate, applicable and relevant actuarial and statistical methods; and
  3. (c) gross, without deduction of the amounts recoverable from \_reinsurance contracts\_ and \_UK ISPV\_ s, which \_firms\_ must calculate separately in accordance with 11.

[Note: Art. 77(2) of the \_Solvency II Directive\_]

### 3.2

The cash-flow projection used in the calculation of the \_best estimate\_ (whether valued separately or determined on the basis of financial instruments in accordance with 2.5) must take into account all the cash in- and out-flows required to settle the insurance and \_reinsurance\_ obligations over their lifetime.

[Note: Art. 77(2) of the \_Solvency II Directive\_]

## 4

### Risk Margin

#### 4.1

Where \_firms\_ value the \_best estimate\_ and \_risk margin\_ separately, the \_risk margin\_ must be an amount equal to the cost that a \_UK Solvency II firm\_ would incur in order to hold \_eligible own funds\_ to cover the \_SCR\_ necessary to support the insurance and \_reinsurance\_ obligations over their lifetime, determined using the \_cost-of-capital rate\_.

[Note: Art. 77(5) of the \_Solvency II Directive\_]

#### 4.2

The \_risk margin\_ must be such as to ensure that the value of the \_technical provisions\_ is equivalent to the amount that a \_UK Solvency II firm\_ would be expected to require in order to take over and meet the insurance and \_reinsurance\_ obligations over their lifetime.

[Note: Art. 77(3) of the \_Solvency II Directive\_]

## 4A

### Calculation of the Risk Margin

#### 4A.1

In accordance with regulation 7B of the IRPR Regulations, where a firm values the best estimate and the risk margin separately, the firm must calculate the risk margin for the whole portfolio of insurance and reinsurance obligations in accordance with the following formula:

$$\text{RM} = \text{CoC} \cdot \sum_{t=0}^{\infty} \frac{\text{SCR}_t}{(1+r)^{t+1}} \cdot \max(\lambda^t, \lambda_{\text{floor}})$$

where:

1. (1) RM denotes risk margin;
2. (2) CoC denotes the cost-of-capital rate;
3. (3) the sum covers all integers including zero;
4. (4) SCR(t) denotes the reference undertaking notional SCR after t years;
5. (5)  $\alpha$  denotes the risk tapering factor, and equals:
  - (a) 0.9 for long-term insurance and reinsurance obligations; and
  - (b) 1.0 for general insurance and reinsurance obligations;
6. (6)  $\alpha^t$  denotes the relevant risk tapering factor to the power of t years;
7. (7)  $\alpha_{\text{floor}}$  denotes the floor of the risk tapering factor, and equals 0.25;
8. (8)  $r(t+1)$  denotes the basic relevant risk-free interest rate for the maturity of t+1 years, derived from the basic relevant risk-free interest rate term structure and selected in accordance with the currency used for the firm's financial statements.

Note: regulation 7B of the IRPR Regulations provides that where the PRA's rules require the best estimate and the risk margin to be calculated separately, the risk margin must be calculated in accordance with that regulation. Rules [2.2 and 2.4 require the value of technical provisions to correspond to a current transfer value and to consist of a best estimate and a risk margin. Rule 2.5 (1) requires the best estimate and the risk margin to be valued separately, unless 2.5(2) applies. Rule 4A.1 therefore requires a firm that values the best estimate and the risk margin separately to calculate the risk margin as required by regulation 7B of the IRPR Regulations]

#### 4A.2

Where a firm calculates its SCR using an internal model for which it has received internal model permission, it must, unless it is inappropriate to do so, use that internal model to calculate the reference undertaking notional SCR.

#### 4A.3

A firm must allocate the risk margin for the whole portfolio of insurance and reinsurance obligations to each relevant line of business and such allocation must adequately reflect the contributions of the lines of business to the reference undertaking notional SCR over the lifetime of the whole portfolio of insurance and reinsurance obligations.

#### 4B

### Reference Undertaking

#### 4B.1

The risk margin must be based on all the following assumptions:

1. (1) the whole portfolio of insurance and reinsurance obligations of the firm is taken over by a reference undertaking;
2. (2) notwithstanding (1), a composite firm must assume that its general insurance business and long-term insurance business are each taken over separately by two different reference undertakings;
3. (3) the transfer of insurance and reinsurance obligations includes any reinsurance contracts and arrangements with special purpose vehicles relating to those obligations;
4. (4) the reference undertaking does not have any insurance or reinsurance obligations or own funds before the transfer takes place;
5. (5) after the transfer, the reference undertaking does not assume any new insurance or reinsurance obligations;
6. (6) after the transfer, the reference undertaking raises eligible own funds equal to the reference undertaking notional SCR necessary to support the insurance and reinsurance obligations over the lifetime of those obligations;
7. (7) after the transfer, the reference undertaking holds assets which amount to the sum of the reference undertaking notional SCR and of the reference undertaking's technical \_\_\_ provisions net of the amounts recoverable from

reinsurance contracts and special purpose vehicles;

8. (8) the assets referred to in (7) are selected in such a way that they minimise the reference undertaking notional SCR for market risk that the reference undertaking is exposed to;

9. (9) the reference undertaking notional SCR captures all the following risks:

1. (a) underwriting risk with respect to the transferred business;
2. (b) where it is material, the market risk referred to in (8), other than interest rate risk;
3. (c) credit risk with respect to reinsurance contracts, arrangements with special purpose vehicles, intermediaries, policyholders and any other material exposures which are closely related to the insurance and reinsurance obligations; and
4. (d) operational risk;

10. (10) the loss-absorbing capacity of technical provisions for the reference undertaking corresponds, in respect of each risk, to the loss-absorbing capacity of technical provisions for the firm;

11. (11) there is no loss-absorbing capacity of deferred taxes for the reference undertaking;

12. (12) the reference undertaking will, subject to (5) and (6), adopt future management actions that are consistent with assumed future management actions, as referred to in Technical Provisions ? Further Requirements 8, of the firm; and

13. (13) the reference undertaking does not apply to its technical provisions any of the following:

1. (a) matching adjustment;
2. (b) volatility adjustment;
3. (c) risk-free interest rate transitional measure; or
4. (d) TMTP.

#### 4B.2

Over the lifetime of the insurance and reinsurance obligations, the SCR necessary to support the insurance and reinsurance obligations referred to in 4.1 must be assumed to be equal to the reference undertaking notional SCR.

#### 4B.3

For the purposes of 4B.1(9), a risk must be considered material where its impact on the calculation of the risk margin could influence the decision-making or the judgment of the users of that information, including the PRA and FCA.

#### 5

### Risk Free Interest Rate Term Structure

#### 5.1

\_Firms\_ must ensure that the \_relevant risk-free interest rate term structure\_ :

1. (1) is determined using, and consistent with, information derived from relevant financial instruments;
2. (2) takes account of relevant financial instruments of those maturities where the markets for those financial instruments as well as for bonds, are deep, liquid and transparent; and
3. (3) is only extrapolated for maturities where the markets for the relevant financial instruments or for bonds are not deep, liquid and transparent.

#### 5.2

For the purpose of 5.1, the extrapolated part of the \_relevant risk-free interest rate term structure\_ shall be based on forward rates converging smoothly from one set of forward rates in relation to the longest maturities for which the relevant financial instrument and the bonds can be observed in a deep, liquid and transparent market to an ultimate forward rate.

[Note: Art. 77a of the \_Solvency II Directive\_]

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### **Matching Adjustment to the Relevant Risk Free Interest Rate Term Structure [Deleted]**

6.1

[Deleted]

6.2

[Deleted]

6.3

[Deleted]

6.4

[Deleted]

7

### **Calculation of the Matching Adjustment [Deleted]**

7.1

[Deleted]

7.2

[Deleted]

7.3

[Deleted]

7.4

[Deleted]

7.5

[Deleted]

8

### **Volatility Adjustment**

8.1

A firm may only apply a volatility adjustment to the relevant risk-free interest rate term structure to calculate the best estimate of its insurance or reinsurance obligations:

1. (1) if it has been granted a volatility adjustment permission;

2. (2) the volatility adjustment has been published by the PRA under regulation 3 of the IRPR regulations; and
3. (3) to the extent of its volatility adjustment permission.

## 8.2

The \_volatility adjustment\_ must not be applied to the risk-free interest rates of the \_relevant risk-free interest rate term structure\_ that are derived by means of extrapolation in accordance with 5.

## 8.3

Where a \_firm\_ applies a \_volatility adjustment\_ in accordance with 8, the extrapolation of the \_relevant risk-free interest rate term structure\_ referred to in 5 shall be based on the risk-free interest rates adjusted with the \_volatility adjustment\_.

## 8.4

[Deleted]

## 8.5

A firm with a volatility adjustment permission must not apply the volatility adjustment with respect to insurance or \_reinsurance\_ obligations where the \_relevant risk-free interest rate term structure\_ used to calculate the \_best estimate\_ for those obligations includes a \_matching adjustment\_.

[Note: Art. 77d of the \_Solvency II Directive\_]

## 9

### Other Elements to Be Taken Into Account

## 9.1

When calculating \_technical provisions\_, \_firms\_ must take into account:

1. (1) all expenses that will be incurred in servicing insurance and \_reinsurance\_ obligations;
2. (2) inflation, including expenses and claims inflation; and
3. (3) all payments to \_policyholders\_, including future discretionary bonuses, which \_firms\_ expect to make, whether or not those payments are contractually guaranteed, unless those payments fall within Surplus Funds 2.1.

[Note: Art. 78 of the \_Solvency II Directive\_]

## 9.2

1. (1) When calculating \_technical provisions\_, \_firms\_ must take account of the value of financial guarantees and any contractual options included in \_contracts of insurance\_ and \_reinsurance contracts\_.
2. (2) Any assumptions used by a \_firm\_ to determine the likelihood that \_policyholders\_ will exercise contractual options, including lapses and surrenders, must:
  1. (a) be realistic and based on current and credible information; and
  2. (b) take into account, either explicitly or implicitly, the impact that future changes in financial and non-financial conditions may have on the exercise of those options.

[Note: Art. 79 of the \_Solvency II Directive\_]

## 10

## Segmentation

### 10.1

When calculating \_technical provisions\_ , \_firms\_ must segment their insurance and \_reinsurance\_ obligations into homogenous risk groups and, as a minimum, by lines of business.

[Note: Art. 80 of the \_Solvency II Directive\_]

### 11

## Recoverables from Reinsurance Contracts and ISPVs

### 11.1

1. (1) \_Firms\_ must calculate amounts recoverable from \_reinsurance contracts\_ and \_UK ISPVs\_ in accordance with 2 to 10.
2. (2) For the purposes of (1), \_firms\_ must take into account the time difference between amounts becoming recoverable and the actual receipt of those amounts.
3. (3) \_Firms\_ must adjust the calculation referred to in (1) to take into account expected losses due to the default of the counterparty. That adjustment must be based on an assessment of the probability of default of the counterparty and the average loss that would result from that default (loss-given- default).

[Note: Art. 81 of the \_Solvency II Directive\_]

### 12

## Data Quality and Application of Approximations

### 12.1

\_Firms\_ must ensure that the data used in the calculation of their \_technical provisions\_ is appropriate, complete and accurate.

### 12.2

Where \_firms\_ have insufficient data of appropriate quality to apply a reliable actuarial method to a set or subset of their insurance and \_reinsurance\_ obligations, or amounts recoverable from their \_reinsurance contracts\_ and \_UK ISPVs\_ , \_firms\_ may use appropriate approximations, including case-by-case approaches, in the calculation of the \_best estimate\_.

[Note: Art. 82 of the \_Solvency II Directive\_]

### 13

## Comparison Against Experience

### 13.1

1. (1) \_Firm\_ s must ensure that the \_best estimate\_ , and the assumptions underlying the calculation of the \_best estimate\_ , are regularly compared against experience.
2. (2) Where the comparison in (1) identifies that a systematic deviation exists between the \_firm?s\_ \_best estimate\_ calculations and experience, the \_firm\_ must make appropriate adjustments to the actuarial methods being used and/or the assumptions being made to ensure that the \_best estimate\_ is calculated in accordance with 2 to 12.



[Note: Art. 83 of the \_Solvency II Directive\_]

14

## Appropriateness of the Level of Technical Provisions

14.1

Upon request by the \_PRA\_ , the \_firm\_ must demonstrate to the \_PRA\_ :

1. (1) the appropriateness of the level of the \_firm's\_ technical provisions\_;
2. (2) the applicability and relevance of the methods applied; and
3. (3) the adequacy of the underlying statistical data used.

[Note: Art. 84 of the \_Solvency II Directive\_]

15

## Community Co-Insurance Operations

15.1

[Deleted.]

15.2

[Deleted.]

16

## Lloyd's

16.1

This Chapter applies to the \_Society\_ and \_managing agents\_.

16.2

For the purposes of complying with 4.1, \_managing agents\_ must construe the reference to 'SCR' in 4.1 as a reference to the notional \_syndicate\_ \_SCR\_ required to be calculated pursuant to Solvency Capital Requirement ? General Provisions 8.2.

16.3

For the purpose of complying with 1.1(2)") the \_Society\_ must calculate \_technical provisions\_ in respect of the \_insurance business\_ of each \_member\_.

16.4

For the purpose of complying with 1.1(3)") , a \_managing agent\_ must calculate \_technical provisions\_ in respect of each \_syndicate\_ it manages

16.5

In respect of business that has been subject to an \_approved reinsurance to close\_ , \_managing agents\_ must calculate

\_technical provisions\_ (before and after deduction of \_reinsurance\_ cessions) for the reinsuring and not for the reinsured member.

#### 16.6

For the purposes of 10.1 in relation to \_managing agents\_ , a \_managing agent\_ must carry out the segmentation referred to in that rule in respect of each \_syndicate\_ managed by the \_managing agent\_.